EQUITY RESEARCH REPORT

Reliance Industries Limited

NSE: RELIANCE | BSE: 500325

Sector: Conglomerate — Oil-to-Chemicals, Retail, Digital Services & Telecom

CMP (11 Sep 2026): ₹1,258 | Market Cap: ₹17,01,716 Cr | Stock P/E (TTM): 22.8x

Prepared as an independent academic equity research project | September 2026 Independent academic equity research — not investment advice

Metric	Value
CMP (11 Sep 2026)	₹1,258
Market Capitalisation	₹17,01,716 Cr
Stock P/E (TTM)	22.8x
Book Value / Share	₹668
ROE / ROCE (3-yr avg)	8.77% / ~10%
52-Week High / Low	₹1,612 / ₹1,250

1. Company Overview

Reliance Industries Limited (RIL), founded by Dhirubhai Ambani and now led by Chairman Mukesh Ambani, is India's largest private-sector conglomerate by revenue and market capitalisation. The Ambani family holds roughly 50% of the company. RIL operates across four broad verticals: Oil-to-Chemicals (O2C) — refining, petrochemicals and fuel retailing; Digital Services, through its 66.43%-owned subsidiary Jio Platforms; Retail, through Reliance Retail Ventures and Reliance Consumer Products (each ~83.56% owned); and a smaller but growing New Energy business focused on renewables and green hydrogen.

Historically an O2C-led business, Reliance has transformed over the past decade into a consumer-facing conglomerate. In FY26, Retail and Digital businesses together contributed close to half of consolidated EBITDA, with Jio Platforms crossing 524 million subscribers (268 million on Jio True5G) and Reliance Retail operating over 20,000 stores. Jio Platforms has also filed a Draft Red Herring Prospectus for a proposed IPO, a step that could unlock further value for shareholders.

Business Segments

- Oil-to-Chemicals (O2C) — refining, petrochemicals, fuel retailing (jio-bp); the original and still-largest revenue contributor
- Jio Platforms — telecom, broadband (Jio AirFiber), and digital services; ~524 million subscribers
- Reliance Retail — India's largest retailer across grocery, fashion, electronics and FMCG (Reliance Consumer Products)
- New Energy — solar manufacturing, green hydrogen, and battery storage, an early-stage but strategically important vertical

2. Financial Statement Analysis (FY22–FY26, Consolidated)

All figures in ₹ Crore unless stated. Source: Company filings, compiled via Screener.in (consolidated, standardised presentation).

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	6,94,673	8,76,396	8,99,041	9,62,820	10,55,780
YoY Growth	49%	26%	3%	7%	10%
EBITDA (Op. Profit)	1,08,581	1,42,318	1,62,498	1,65,598	1,79,065
EBITDA Margin	16%	16%	18%	17%	17%
Net Profit (PAT)	67,845	74,088	79,020	81,309	95,754
Net Margin	9.8%	8.5%	8.8%	8.4%	9.1%
EPS (₹)	44.87	49.29	51.45	51.47	59.69

Key Observations

- Revenue growth decelerated sharply after the FY22 post-pandemic rebound (49% YoY) to a more modest high-single-digit pace in FY24–FY25, before re-accelerating to 10% in FY26 on stronger Retail and Digital contribution.
- EBITDA margins expanded from 16% (FY22–FY23) to 17–18% in FY24–FY26, reflecting the rising mix of high-margin Digital and Retail revenue relative to the lower-margin, commodity-linked O2C business.
- Net margin has stayed in a relatively narrow 8.4%–9.8% band, with FY26's 9.1% aided by a jump in other income (₹28,846 Cr, including profit from sale of listed investments) alongside core operating improvement.
- EPS growth has been uneven — near-flat between FY23 and FY25 — before jumping 16% in FY26 to ₹59.69, aided by both operating EBITDA growth and the one-off investment gains.

3. Balance Sheet & Leverage

Metric	FY22	FY23	FY24	FY25	FY26
Total Borrowings	3,19,158	4,51,664	3,50,719	3,74,313	4,02,962
Equity + Reserves	7,79,485	7,15,872	7,93,481	8,43,200	9,04,030
Debt / Equity	0.41x	0.63x	0.44x	0.44x	0.45x
ROCE	8%	9%	10%	10%	10%
Free Cash Flow	13,646	(16,770)	21,212	41,079	70,023

Reliance's borrowings spiked in FY23 (funding Jio and Retail capex and 5G spectrum) before being brought down through FY24–FY25 on strong operating cash flow and capital raises. Free cash flow turned sharply positive from FY24 onward as the multi-year 5G and retail network capex cycle matured — FY26 free cash flow of ₹70,023 Cr is the highest in the five-year window, a meaningful de-risking signal for a company that ran negative free cash flow as recently as FY23.

4. Relative (P/E-Based) Valuation

Given RIL's diversified, multi-segment structure, a sum-of-the-parts approach is the theoretically cleanest valuation method; however, a simpler relative P/E cross-check — comparing the stock's current multiple to its own trading history — offers a useful sanity check that is standard practice for conglomerate valuation exercises at this level.

Metric	Value
FY26 EPS	₹59.69
Current P/E (TTM, 11 Sep 2026)	22.8x
5-Year Average P/E (FY22–FY26)	~26.0x
5-Year Median P/E (FY22–FY26)	~23.5x
Implied Value at 5-yr Average P/E	₹1,552
Implied Value at 5-yr Median P/E	₹1,403

At the current market price of ₹1,258, Reliance trades at roughly 22.8x trailing earnings — below both its own five-year average multiple (~26.0x) and median multiple (~23.5x). Applying these historical multiples to FY26 EPS implies a fair value range of roughly ₹1,400–₹1,550, suggesting the stock is currently trading at a modest discount to its own historical valuation band, rather than at a premium.

Important limitation: relative valuation against a company's own trading history assumes the earnings quality and growth outlook are broadly comparable across the period. FY26 EPS was flattered by a one-off ₹8,924 Cr gain on sale of listed investments; excluding this, the implied fair-value range would be somewhat lower. A full sum-of-the-parts valuation — separately valuing O2C, Jio, and Retail against listed peers — would be a more rigorous approach and is recommended as a next step beyond this simplified P/E cross-check.

5. Investment Thesis

Bull Case

- Retail and Digital now contribute nearly half of consolidated EBITDA, structurally re-rating the earnings mix away from cyclical, commodity-linked O2C
- Jio Platforms' proposed IPO could act as a value-unlocking catalyst and provide an independent market valuation for the telecom/digital business
- Free cash flow generation has inflected sharply positive (₹70,023 Cr in FY26) as the multi-year capex cycle in 5G and retail infrastructure matures
- Credit ratings were upgraded in FY26 (S&P to A-, Moody's to Baa1 — both two notches above India's sovereign rating), reflecting balance sheet strength

Bear Case / Risks

- O2C remains exposed to volatile global refining margins, crude oil prices, and petrochemical spreads outside management's control
- Net margins have been structurally capped in the 8–9% range for five years despite EBITDA margin expansion, due to rising depreciation and interest costs from the capex cycle
- FY26 profit growth was partly aided by a non-recurring investment gain; the underlying operating profit growth rate is more modest
- Retail and Jio still require sustained heavy investment to defend market share against well-funded competitors (Amazon, Flipkart, Airtel, Adani in new energy)

6. Recommendation

HOLD / ACCUMULATE ON WEAKNESS

Reliance's transformation from a commodity-cyclical refiner into a diversified Retail-Digital-Energy conglomerate is well underway and increasingly visible in the numbers, with FY26 marking an inflection point

in both EBITDA mix and free cash flow generation. At a current P/E of 22.8x — below its own five-year average — the stock is not demanding a premium for this transition, and the implied fair-value range of ₹1,400–₹1,550 suggests modest upside on a historical relative-valuation basis. The investment case rests heavily on continued execution in Retail and a successful Jio Platforms IPO; existing holders have reasonable grounds to stay invested, while new investors may prefer to build a position gradually rather than all at once, given O2C's residual cyclicality and the one-off nature of part of FY26's profit growth.

7. Methodology Notes & Limitations

- This report uses a simplified relative (P/E-based) valuation rather than a full sum-of-the-parts or DCF model; RIL's multi-segment structure means a SOTP approach would likely be more precise.
- All financial data is sourced from consolidated, standardised figures (Screener.in, compiled from company filings) for cross-year comparability; figures may differ slightly from the company's own segment-level disclosures, which use different revenue recognition conventions.
- This is an academic project prepared for skill-building and portfolio purposes. It does not constitute investment advice and should not be used as the basis for any investment decision.

— End of Report —